

Value Recognition Standard (VRS)

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Canonical Definition

Value Recognition Standard (VRS) is the fourth Parent Standard within VFM® — Value Flow Mechanisms Architecture governing the conditions under which existing value may be formally recognized as value within a defined governance context.

VRS establishes the methodological transition between Value Existence and Value Recognition.

The Standard requires recognition to remain connected to the value context, value origin, emergence basis, recognition criteria, recognition basis, applicable limitations, and the specific context within which recognition is established.

Value Recognition does not create value merely by declaring it.

Nor does the prior existence of value automatically mean that every actor, system, institution, jurisdiction, market, organization, or operational environment must recognize that value.

VRS therefore establishes a fundamental architectural distinction:

Value Existence ≠ Value Recognition

and:

Recognition of Value ≠ Creation of Value

The purpose of VRS is to make the transition from existent value to recognized value explicit, governable, bounded, reconstructable, and suitable for subsequent Value State governance.

Core Question

When can existing value be recognized as value within its defined governance context?

Architectural Position

Value Recognition Standard occupies the fourth governed space of the VFM® value lifecycle.

It follows:

Value Emergence Standard (VES)

and precedes:

Value State Standard (VSS).

The lifecycle up to this point establishes:

Value Context → Value Origin → Value Emergence → Value Recognition

The architectural questions progress accordingly:

What value is being governed?

→ From what basis can that value originate?

→ When does potential value become existent value?

→ When may that existing value be recognized as value within the defined context?

VRS therefore operates only after value has sufficiently emerged to exist as governed value.

It does not determine the original source of value.

It does not determine whether potential value has crossed the threshold into existence.

It determines whether existing value may be recognized within a specified value context.

Governance Flow Position

Value Context → Value Origin → Value Emergence → Value Recognition → Value State → Value Change → Value Development / Value Degradation → Value Nullification → Value Restoration / Value Extinction

Within this flow, VRS governs:

Existing Value

→ Recognition Criteria

→ Recognition Basis

→ Recognition Determination → Recognition Limitations → Recognition Record → Recognized Value → Value State Governance

Operational Space

VRS governs the space between:

value that exists

and

value that has been explicitly recognized within a defined governance context.

This governed space includes:

recognition criteria; recognition basis; recognition context; recognition determination; recognition conditions; recognition limitations; conditional recognition; partial recognition; contextual recognition; non-recognition; recognition suspension; recognition withdrawal; recognition scope; recognition applicability; recognition record; recognition traceability; recognition change; recognition disagreement; recognition plurality; temporal recognition; transfer of recognized value into Value State governance.

Operational Scope

VRS may apply wherever existing value requires explicit recognition before it can meaningfully proceed through a governed value lifecycle.

The Standard may apply to value associated with:

physical assets; digital assets; intellectual assets; technological capability; data; infrastructure; services; productive capacity; human activity; organizational capability; financial resources; economic activity; environmental resources; energy; computational capability;

scientific knowledge; public infrastructure; social or institutional capability; future value-bearing objects and systems.

VRS remains domain-neutral.

It does not prescribe what society must value.

It establishes how recognition of existing value can become a governed lifecycle event.

The Recognition Problem

Value can exist without being recognized.

A capability may already produce material benefit before an organization formally recognizes that benefit.

A dataset may contain useful informational value before an institution understands its usefulness.

A technological capability may have operational value before a market develops around it.

An infrastructure asset may provide systemic value that is not represented by its financial valuation.

A reduction in energy consumption may create operational value even where no accounting category separately records that value.

A previously ignored resource may become recognized because the context in which its usefulness is understood has changed.

VFM® therefore does not assume:

Existing Value = Recognized Value

VRS inserts an explicit governance layer between them.

Value Existence ≠ Value Recognition

Value Emergence Standard governs:

whether value has come into existence.

Value Recognition Standard governs:

whether that existing value is recognized as value within a defined context.

This distinction prevents recognition systems from silently acquiring authority over value existence itself.

A recognition mechanism may fail.

A market may overlook value.

An accounting system may not represent it.

A regulatory framework may not classify it.

An organization may not understand it.

A technological system may not detect it.

None of these conditions alone proves that the value did not exist.

Therefore:

Failure to Recognize Value $\neq$ Proof of Value Non-Existence

This is a foundational VFM® distinction.

Recognition Does Not Create Value

Recognition may make value:

visible; actionable; governable; measurable; communicable; usable within a process; available for subsequent classification; available for subsequent Value State determination.

But recognition itself must not automatically be interpreted as the origin or emergence of the value.

VRS therefore distinguishes:

Value Origin

from

Value Emergence

from

Value Recognition.

An external recognition event may influence future value development or change, but that later consequence belongs to subsequent VFM® lifecycle spaces.

Recognition Context Principle

Value recognition is context-dependent.

The same existing value may be:

recognized in Context A

while remaining:

unrecognized in Context B.

For example, an operational capability may have recognized value for an engineering organization while remaining unrecognized by a financial reporting system.

A scientific dataset may have recognized research value while having no recognized commercial value.

An infrastructure redundancy capability may have recognized resilience value without having a separately recognized market value.

VRS therefore requires every material recognition determination to identify:

Recognized Value + Recognition Context

Recognition without context risks creating false universality.

Recognition Criteria

Recognition must be based upon sufficiently defined criteria.

Recognition criteria establish the conditions against which existing value is considered recognizable within the defined context.

Criteria may relate, where appropriate, to:

utility; capability; benefit; contribution; outcome; function; scarcity; relevance; accessibility; applicability; productive potential; strategic significance; operational significance; economic significance; informational significance; temporal significance; contextual significance.

VFM® does not prescribe one universal recognition criterion.

Different value contexts may legitimately require different criteria.

The methodological requirement is that the criteria are explicit rather than silently assumed.

Recognition Basis

Recognition criteria establish:

what must be satisfied.

Recognition basis establishes:

what supports the recognition determination.

A Recognition Basis may include:

observed capability; operational outcome; documented benefit; measurable contribution; evidence of use; demonstrated utility; resource availability; performance information; contextual relationship; comparative information; governed external determination; other sufficiently defined basis appropriate to the recognition context.

VRS does not automatically validate the truth or integrity of every external input.

Where broader validation, integrity, audit, classification, identity, or operational-reality governance is required, the relevant OOF® architecture retains its own domain.

Recognition Determination

Recognition must result in an explicit governed determination.

A recognition determination answers:

Is the existing value recognized as value within the defined context under the established recognition criteria and basis?

Possible recognition outcomes may include:

Recognized

The existing value satisfies the applicable recognition basis within the defined context.

Conditionally Recognized

Recognition is legitimate only under specified conditions.

Partially Recognized

Only a defined component, dimension, use, beneficiary relationship, or context of the existing value is recognized.

Recognition Pending

The value exists, but the basis required for a recognition determination remains incomplete.

Not Recognized

Recognition has not been established within the defined context.

Recognition Suspended

A previous recognition determination cannot currently be relied upon pending reassessment.

Recognition Withdrawn

A previous recognition determination has been formally removed within the relevant context.

These are governance states of recognition.

They are not automatically states of the value itself.

Non-Recognition Principle

One of the most important VRS protections is the distinction:

Not Recognized ≠ No Value

A value may remain existent even where recognition is absent.

Non-recognition may result from:

missing information; insufficient recognition basis; inappropriate recognition criteria; institutional limitations; technological limitations; temporal conditions; contextual mismatch; absence of a relevant recognition mechanism; unresolved disagreement; scope limitations.

VRS therefore prevents a recognition system from automatically converting:

“we do not recognize this value”

into:

“this value does not exist.”

Whether the underlying value still exists remains a value-lifecycle question governed independently of recognition status.

Recognition Plurality

The same existing value may legitimately have multiple recognition relationships.

For example:

Existing Value

→ recognized operationally → recognized strategically → unrecognized financially → conditionally recognized institutionally → recognized by Beneficiary A → unrecognized by Beneficiary B.

These recognition outcomes do not necessarily contradict one another because they may operate within different contexts and against different criteria.

VRS therefore supports Recognition Plurality.

Each recognition determination must remain attached to its own:

context + criteria + basis + limitations + time.

Recognition Disagreement

Different actors or systems may reach different recognition determinations concerning the same existing value.

VRS does not force artificial consensus.

Instead, disagreement should remain visible and governable.

Where two recognition determinations differ, the architecture should permit reconstruction of:

who or what recognition context was applied

→ which criteria were used

→ which basis supported the determination

→ which limitations applied

→ when the determination occurred.

Recognition disagreement therefore becomes analyzable rather than hidden.

Recognition Limitation

Every recognition determination may have limits.

Limitations may include:

beneficiary limitation; purpose limitation; object limitation; jurisdictional limitation; organizational limitation; temporal limitation; operational limitation; use limitation;

evidential limitation; measurement limitation; contextual limitation.

A recognition established for one purpose must not silently become recognition for every purpose.

Therefore:

Contextual Recognition ≠ Universal Recognition

Temporal Recognition

Recognition may change over time without implying that the underlying value necessarily changed at the same moment.

A value may have existed for years before it was recognized.

Conversely, recognition may later be withdrawn even where some underlying value remains.

This creates an important distinction between:

Change in Value

and

Change in Recognition of Value.

VRS governs the second.

Value Change Standard governs the first.

This separation is essential for longitudinal analysis.

Recognition Change $\neq$ Value Change

Suppose an institution begins recognizing the strategic value of an existing technology.

The recognition event may produce:

Unrecognized $\rightarrow$ Recognized

without the underlying value itself changing at that instant.

Likewise:

Recognized $\rightarrow$ Not Recognized

does not automatically mean:

Positive Value $\rightarrow$ Zero Value.

A separate Value State or Value Change determination is required.

This prevents institutional perception from being confused with the actual lifecycle of value.

Recognition and Value State

VRS prepares the governed value for the next architectural space:

Value State Standard (VSS).

VRS determines:

whether and under what context existing value is recognized.

VSS subsequently determines:

what state the governed value currently occupies.

Therefore:

Recognition Status $\neq$ Value State

A recognized value still requires Value State determination.

An unrecognized value may still exist.

A zero-value state cannot be inferred merely from non-recognition.

Recognition and Market Price

VRS does not determine market price.

A market price may be one contextual signal used by an external system, but:

Price $\neq$ Value Recognition

and:

Market Recognition $\neq$ Universal Value Recognition

Something may have significant operational, strategic, scientific, infrastructural, or social value while lacking a market price.

Conversely, something may have a market price without that fact alone determining every other form of value.

VFM® must therefore remain independent of price formation.

Recognition and Accounting

VRS does not determine whether value qualifies for recognition under a particular accounting framework.

Accounting recognition is governed by applicable accounting rules and institutions.

VFM® may represent a broader governed value lifecycle in which accounting recognition becomes one external recognition relationship where relevant.

Therefore:

VFM® Value Recognition ≠ Accounting Recognition

This distinction allows VFM® to identify forms of value that exist outside the representational boundaries of conventional accounting systems without claiming authority over accounting standards.

Recognition and Taxation

VRS does not determine:

taxable value; tax base; taxable event; tax liability; tax rate; tax jurisdiction; tax treatment.

A future taxation architecture may consume governed VFM® value information.

But:

Value Recognition ≠ Tax Recognition

and:

Recognized Value ≠ Taxable Value.

This boundary is critical if VFM® later becomes an input into value-based fiscal or taxation methodologies.

Recognition and Validation

Recognition does not itself establish validity.

Where the basis supporting recognition requires formal validation, VALIDOS® — Validation Governance Architecture may govern whether the relevant claim or evidence can legitimately be validated and relied upon.

The boundary is:

VFM® / VRS: Has existing value been recognized within the defined value context?

VALIDOS®: Can the relevant validation claim legitimately be established and relied upon?

Therefore:

Recognition ≠ Validation

Recognition and Classification

Recognition does not itself determine formal classification.

CLA™ — Classification Architecture may govern how an object, value-related record, recognition state, or other governed entity is classified.

VRS determines recognition.

CLA™ determines classification governance.

Therefore:

Recognition ≠ Classification

Recognition and Integrity

VRS does not establish the general integrity of the underlying object, evidence, record, or system.

Where integrity must be established or continuously assured, INTEGROS® — Integrity Governance Architecture retains that domain.

A recognition determination may rely upon integrity-governed information without absorbing integrity governance into VFM®.

Recognition and Identity

VRS does not determine the identity, ownership, provenance, authority, or permission structure of the underlying value-bearing object.

Where those questions arise, OBIDENTITY® — Origin-Bound Identity Governance Architecture retains its own governed domain.

Therefore:

Value Identification ≠ Asset Identity

and:

Value Recognition ≠ Ownership Recognition

Recognition and Audit Evidence

VRS may produce recognition records that can later be audited.

It does not govern audit and evidence generally.

Where reconstruction, evidence verification, audit execution, or continuous audit assurance is required, ADIT® — Continuous Audit & Evidence Governance Architecture retains that governed domain.

Recognition Traceability

A governed recognition determination should remain traceable to the value lifecycle that preceded it.

The minimum conceptual chain is:

Governed Value Context → Value Origin Basis → Value Emergence Determination → Existing Value → Recognition Criteria → Recognition Basis → Recognition Determination → Recognition Limitations → Recognition Record

This prevents recognition from becoming detached from the value it concerns.

Recognition Record Principle

A recognition determination should be capable of reconstruction.

A governed recognition record should preserve, where materially relevant:

governed value reference; value-bearing object reference; beneficiary or relevant value relationship; recognition context; recognition criteria; recognition basis; recognition determination; conditions; limitations; temporal applicability; relevant dependencies; change or reassessment triggers.

The recognition record creates the governed handoff into Value State governance.

Cross-Architecture Boundary

VRS must remain methodologically narrow.

It does not determine:

Identity → OBIDENTITY® — Origin-Bound Identity Governance Architecture

Governance Authority → GOA™ — Governance Architecture

Operational Reality → ORA™ — Operational Reality Architecture

Accountability → AGA™ — Accountability Governance Architecture

Integrity → INTEGROS® — Integrity Governance Architecture

Classification → CLA™ — Classification Architecture

Audit & Evidence → ADIT® — Continuous Audit & Evidence Governance Architecture

Validation → VALIDOS® — Validation Governance Architecture

VRS may consume governed outputs from these architectures where necessary.

It does not absorb their governed domains.

Enterprise Application

Value Recognition Standard enables organizations to govern value that conventional systems may identify differently—or fail to represent at all.

It can support environments in which organizations need to distinguish:

what exists as value

from

what a particular system currently recognizes as value.

This may be useful in:

banking and financial infrastructure; investment analysis; enterprise value governance; public finance; infrastructure planning; industrial systems; innovation portfolios; digital assets; intellectual property; data and information assets; AI and computational systems; energy systems; sustainability programs; scientific programs; public-sector resource allocation; emerging economic models.

The Standard enables multiple recognition systems to coexist without forcing their determinations to become definitions of value existence itself.

Foundational Principles

Value existence is not value recognition.

Recognition does not create value merely by declaration.

Failure to recognize value does not prove that value does not exist.

Recognition is contextual, not automatically universal.

The same existing value may be recognized differently in different contexts.

Recognition disagreement must remain visible rather than being converted into false consensus.

A change in recognition does not automatically constitute a change in value.

Non-recognition does not automatically create a zero-value state.

Market price is not equivalent to value recognition.

Accounting recognition is not equivalent to VFM® Value Recognition.

Recognized value is not automatically taxable value.

Recognition is not validation, classification, identity, integrity, ownership, or audit.

Every material recognition determination should remain connected to the context, criteria, basis, conditions, limitations, and time that give that recognition meaning.

Canonical Closing Statement

Value Recognition Standard establishes the fourth governance layer of VFM® — Value Flow Mechanisms Architecture by governing the transition from existing value to value recognized within a defined governance context. Through explicit governance of recognition criteria, recognition basis, contextual recognition, recognition determinations, conditional and partial recognition, non-recognition, recognition plurality, disagreement, limitations, temporal applicability, traceability, and recognition records, VRS prevents the existence of value from being confused with the willingness or capability of a particular system to recognize it. By separating Value Recognition from Value Emergence, Value State, Value Change, market price, accounting recognition, taxation, validation, classification, integrity, identity, ownership, and audit, VRS preserves the methodological independence of the value lifecycle while enabling recognized value to proceed into governed Value State determination. Existing value does not begin to exist because it is recognized, and it does not cease to exist merely because recognition is absent. VFM® therefore treats recognition as a governed relationship to value—not as the authority that creates value itself.

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Value Recognition Standard (VRS)

Architecture: VFM® — Value Flow Mechanisms Architecture · Category: Governance & Enforcement · Subcategory: Value Lifecycle Governance Canonical Definition: Value Recognition Standard governs when and under what defined context existing value may be formally recognized as value, establishing the criteria, basis, determination, limitations, and traceability required to distinguish the existence of value from its recognition. Governed Space: Value Recognition Governance Flow: Value Context → Value Origin → Value Emergence → Value Recognition → Value State → Value Change → Value Development / Value Degradation → Value Nullification → Value Restoration / Value Extinction Existing value does not begin to exist because it is recognized, and failure to recognize value does not prove that value does not exist. → View Standard

About standard

Module Architecture

→ Value Recognition Criteria Module (VRCM).

→ Value Recognition Basis Module (VRBM).

→ Value Recognition Determination Module (VRDM).

→ Value Recognition Limitation Module (VRLM).

→ Value Recognition Record Module (VRRM).

Related Documents

→ About Value Recognition Standard (VRS).

→ VFM® — Value Flow Mechanisms Architecture

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